Opinion **The FT View**

The Fed is stuck between its dual mandate

A cautious rate cut this week would maintain the US central bank's flexibility

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Fed chair Jay Powell. Some Fed officials argue that tariffs will deliver only a one-off boost to the price level, but there is a risk that they fuel broader inflationary pressures © Al Drago/Bloomberg

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At its meeting starting on Tuesday, the US Federal Reserve is widely expected to cut interest rates for the first time this year. But the central bank must balance its dual mandate to promote maximum employment *and* keep prices stable, while withstanding growing pressure from Donald Trump to make a "big cut". At its two-day gathering, the most dovish committee members are set to echo the US president's calls for a chunky rate reduction in response to slowing job growth. Yet with inflation climbing to 2.9 per cent in August, the case for caution is stronger.

Since the Fed's last meeting in July, the debate has tilted in rate-cutters' favour. The central bank's latest Beige Book reported that "most of the 12 Federal Reserve Districts reported little or no change in economic activity" over the summer. Consumer confidence slid in September. Construction and manufacturing activity has also been subdued, squeezed by high borrowing costs and Trump's wide-ranging import duties. Resilience has come from narrow sources, including booming investment in artificial intelligence-related infrastructure.

The broad-based economic slowdown is showing up in a cooling labour market. For several months, more private-sector industries have been shedding jobs than creating them. While the jobless rate remains low, it has edged higher over the year, and could rise faster as workers struggle to find suitable roles. Job-finding expectations fell to a record low in the New York Fed's consumer survey for August. That said, large data revisions and the administration's clampdown on foreign workers have muddied the statistics somewhat.

A substantive rate cut would give strained households and industries a welcome relief. But inflation complicates matters. Trump's tariffs are gradually raising domestic price pressures. Annual core personal consumption expenditure inflation — the Fed's preferred gauge — has risen since April. The proportion of goods and services with rising prices has also gone up sharply.

Some Fed officials argue that tariffs will deliver only a one-off boost to the price level. But there is a risk that they fuel broader inflationary pressures. US inflation has been above the central bank's 2 per cent target for over four years now, and consumers' year-ahead price growth expectations are at 4.8 per cent, according to the University of Michigan's survey. Grocers and major retailers warn that they will increasingly have to pass through higher tariff costs to consumers as their inventories dwindle. The White House is also mulling further sector-specific tariffs.

What should the Fed do? On balance, while weakness in the jobs market is concerning, the uncertainty around inflation leaves little justification for a substantial easing this week. Markets are pricing in a smaller 25 basis point cut — a move that seems sensible. Fed chair Jay Powell should also stress the uncertainties still clouding the outlook.

At its subsequent meetings, the Fed will be better positioned to weigh the risks to its dual mandate and act more decisively — whether that means accelerating cuts, pausing them, or even reversing course. The coming months will bring more clarity on the extent of tariff pass-through to prices and the depth of labour market weakness. The US Supreme Court's deliberations on the legality of the president's tariffs will have significant implications for monetary policy too.

A cautious move this week will preserve the Fed's flexibility in a volatile economic environment, and reinforce its inflation-fighting credibility, as it comes under concerted pressure from the president. For now, patience not panic appears to be the most prudent path.

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